

CREDIT RISK & LOAN DEFAULT ANALYSIS REPORT

SQL-Based Portfolio Risk Assessment

Portfolio Metric	SQL Output
Total Loans	32,581
Total Loan Amount	312,431,300
Defaulted Loans	7,108
Overall Default Rate	21.82%
Defaulted Loan Amount	77,125,375
Default Portfolio Share	21.82% of loans

Summary

The portfolio contains 32,581 loans with a total loan amount of 312,431,300. Among these, 7,108 loans are classified as defaulted, resulting in an overall default rate of 21.82%. The defaulted loans represent 77,125,375 of the total loan amount.

The analysis shows that default risk is concentrated in specific borrower and loan segments. Loan grade, previous default history, income level, interest rate, loan-to-income burden, employment length, home ownership and loan intent all show differences in observed default rates.

The analysis also separates risk from exposure. A segment can have a very high default rate but relatively small exposure, while another segment can have a lower default rate but a much larger amount of capital exposed. This distinction is important when assessing the practical business impact of credit risk.

1. Where Is the Risk?

Risk by Loan Grade

Loan Grade	Total Loans	Defaulted Loans	Default Rate	Total Loan Amount	Defaulted Exposure
G	64	63	98.44%	1,100,525	1,098,925
F	241	170	70.54%	3,546,875	2,496,875
E	964	621	64.42%	12,450,875	7,826,925
D	3,626	2,141	59.05%	39,339,350	22,800,100
C	6,458	1,339	20.73%	59,503,125	13,579,600
B	10,451	1,701	16.28%	104,462,800	19,120,425
A	10,777	1,073	9.96%	92,027,750	10,202,525

The default rate increases sharply from Grade A to G. Grade G records a 98.44% default rate, but least Defaulted exposure while Grade D records 59.05% but highest default exposure of 22,800,100. Although Grades F and G have higher default rates.

Risk by Loan Intent

Loan Intent	Total Loans	Defaulted Loans	Default Rate	Total Loan Amount	Average Loan Amount
DEBTCONSOLIDATION	5,212	1,490	28.59%	50,008,550	9,594.89
MEDICAL	6,071	1,621	26.70%	56,214,925	9,259.58
HOMEIMPROVEMENT	3,605	941	26.10%	37,349,675	10,360.52
PERSONAL	5,521	1,098	19.89%	52,856,800	9,573.77
EDUCATION	6,453	1,111	17.22%	61,191,725	9,482.68
VENTURE	5,719	847	14.81%	54,809,625	9,583.78

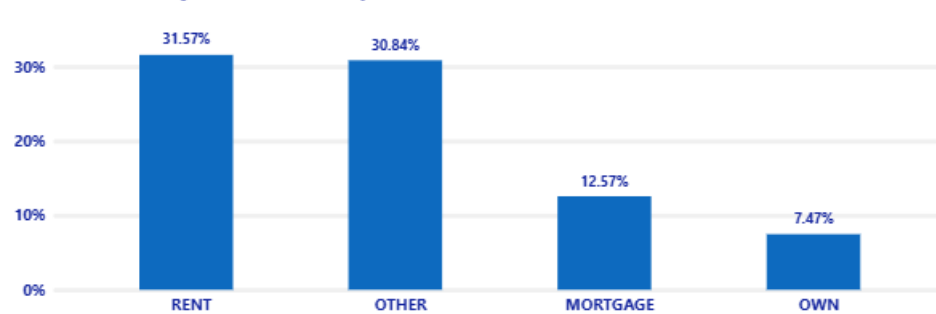
Debt consolidation has the highest default rate among loan intents at 28.59%, followed by Medical at 26.70% and Home Improvement at 26.10%. Venture has the lowest observed default rate at 14.81%.

Risk by Home Ownership

Home Ownership	Total Loans	Defaulted Loans	Default Rate	Total Loan Amount	Average Loan Amount
RENT	16,446	5,192	31.57%	145,749,900	8,862.33
OTHER	107	33	30.84%	1,184,975	11,074.53
MORTGAGE	13,444	1,690	12.57%	142,163,050	10,574.46
OWN	2,584	193	7.47%	23,333,375	9,029.94

Renters have the highest default rate among the major home-ownership groups at 31.57%, compared with 12.57% for mortgage holders and 7.47% for borrowers who own their homes. The rental segment also has the largest total loan amount among the home-ownership groups.

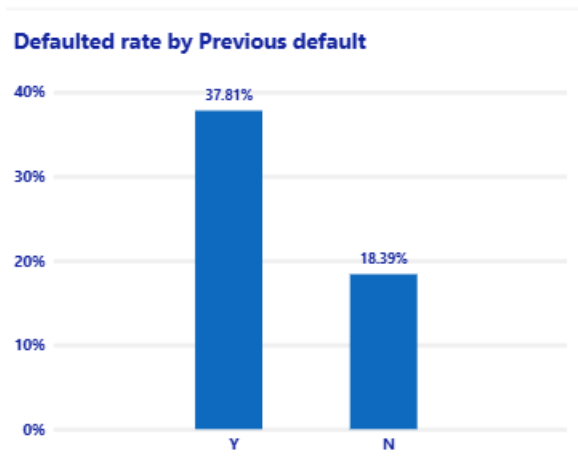
Defaulted rate by Home ownership



Risk by Previous Default History

Previous Default	Total Loans	Defaulted Loans	Default Rate	Total Loan Amount	Average Loan Amount
Y	5,745	2,172	37.81%	58,158,700	10,123.36
N	26,836	4,936	18.39%	254,272,600	9,475.06

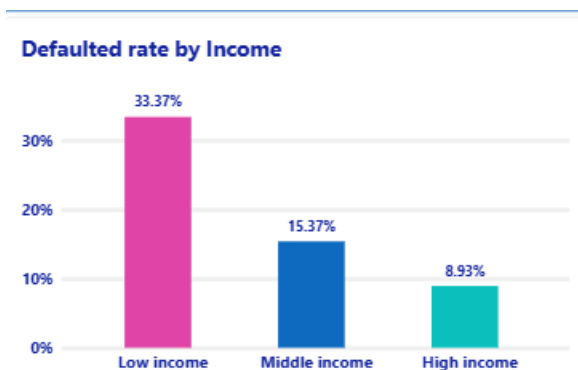
Borrowers with a previous default on file have a 37.81% default rate, compared with 18.39% for borrowers without a previous default. The difference is 19.42 percentage points.



Risk by Income Group

Income Group	Total Loans	Defaulted Loans	Default Rate	Total Loan Amount	Average Loan Amount
Low income	3,669	1,727	47.07%	18,894,675	5,149.82
Lower-middle income	14,011	3,614	25.79%	115,205,025	8,222.47
Middle income	10,331	1,359	13.15%	113,883,700	11,023.49
High income	4,570	408	8.93%	64,447,900	14,102.39

Default rates decline as income increases. The low-income group records a 47.07% default rate, while the high-income group records 8.93%. This is a 38.14 percentage-point difference.



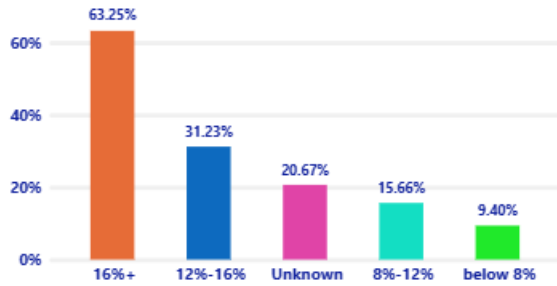
2. What Factors Are Associated With Default?

Interest Rate

Interest Rate Group	Total Loans	Defaulted Loans	Default Rate
16+	1,875	1,186	63.25%
12%-16%	9,272	2,896	31.23%
Missing rate	3,116	644	20.67%
8%-12%	10,548	1,652	15.66%
Below 8%	7,770	730	9.40%

The default rate rises as the interest-rate band increases. Loans in the 16+ group have a 63.25% default rate, compared with 9.40% for loans below 8%, a difference of 53.85 percentage points.

Defaulted rate by Interest rate

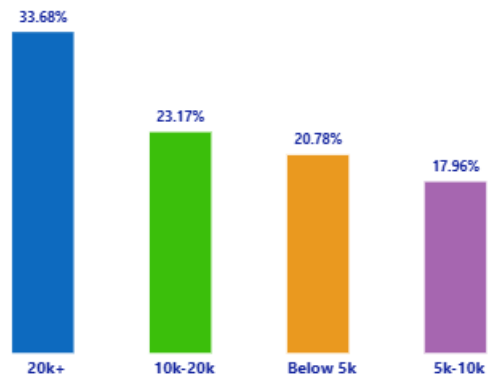


Loan Amount

Loan Amount Group	Total Loans	Defaulted Loans	Default Rate
20k+	3,156	1,063	33.68%
10k-20k	10,560	2,447	23.17%
Below 5k	7,446	1,547	20.78%
5k-10k	11,419	2,051	17.96%

The highest loan-amount band, 20k+, has a 33.68% default rate, while the 5k-10k group has a 17.96% default rate.

Defaulted rate by Loan amount

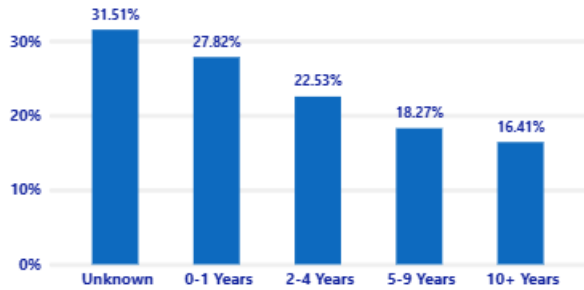


Employment Length

Employment Group	Default Rate
Unknown	31.51%
0-1 years	27.82%
2-5 years	22.53%
5-10 years	18.27%
10+ years	16.41%

Observed default rates generally decline with longer employment tenure, from 27.82% for 0-1 years to 16.41% for 10+ years. The Unknown group has a 31.51% default rate.

Defaulted rate by Employment length

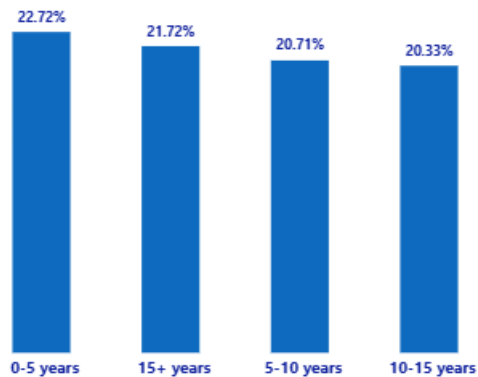


Credit History Length

Credit History Group	Total Loans	Defaulted Loans	Default Rate
0-5 years	17,833	4,052	22.72%
15+ years	1,579	343	21.72%
5-10 years	9,436	1,954	20.71%
10-15 years	3,733	759	20.33%

Credit-history length shows a smaller variation in default rates than several other variables. The rates range from 20.33% to 22.72%, indicating a relatively narrow difference across the groups.

Defaulted rate by credit history length



Loan-to-Income Burden

Income Burden Group	Total Loans	Defaulted Loans	Default Rate
30%+	4285	2805	65.46%
20%-30%	6817	1424	20.89%
10%-20%	12528	1846	14.73%
Below 10%	8951	1033	11.54%

Loan-to-income burden shows one of the strongest patterns in the analysis. The 30%+ group has a 65.46% default rate, compared with 11.54% for borrowers below 10%, a difference of 53.92 percentage points.

Average Characteristics: Defaulted vs Non-Defaulted

Characteristic	Default	Non-Default
Total loans	7,108	25,473
Average income	49,125.65	70,804.36
Average loan amount	10,850.50	9,237.46
Average interest rate	13.06%	10.44%
Average employment length	4.14 years	4.97 years
Average credit history	5.69 years	5.84 years
Average loan-income ratio	0.247	0.149

Defaulted borrowers have lower average income, higher average loan amount, higher average interest rate, slightly shorter employment length, and a higher average loan-income ratio than non-defaulted borrowers.

3. Where Is the Portfolio Exposure?

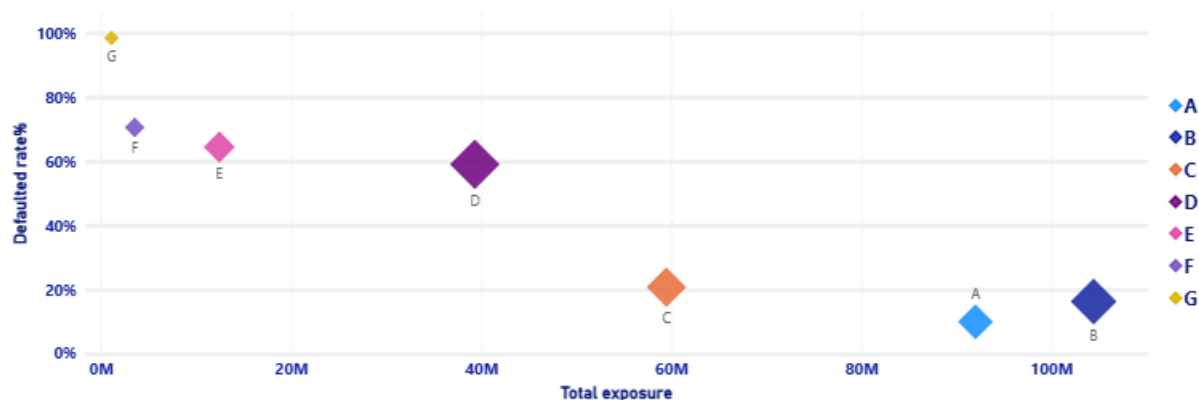
The portfolio exposure analysis considers total exposure, defaulted exposure and default rate together. This helps distinguish segments with high default frequency from segments where a larger amount of the portfolio is exposed.

Portfolio Exposure by Loan Grade

Loan Grade	Total Loans	Default Rate	Total Exposure	Defaulted Exposure	Risk / Exposure Result
G	64	98.44%	1,100,525	1,098,925	High Risk + Low Exposure
F	241	70.54%	3,546,875	2,496,875	High Risk + Low Exposure
E	964	64.42%	12,450,875	7,826,925	High Risk + Low Exposure
D	3,626	59.05%	39,339,350	22,800,100	High Risk + Low Exposure*
C	6,458	20.73%	59,503,125	13,579,600	Low Risk + High Exposure
B	10,451	16.28%	104,462,800	19,120,425	Low Risk + High Exposure
A	10,777	9.96%	92,027,750	10,202,525	Low Risk + High Exposure

The ranking analysis identifies Grade D as the segment with the highest defaulted exposure.

Risk vs Portfolio Exposure



Risk + Exposure Ranking

Loan Grade	Default Rate Rank	Defaulted Exposure Rank	Risk Priority
G	1	7	Highest Default Rate
F	2	6	Other
E	3	5	Other
D	4	1	Highest Defaulted Exposure
C	5	3	Other
B	6	2	Other
A	7	4	Other

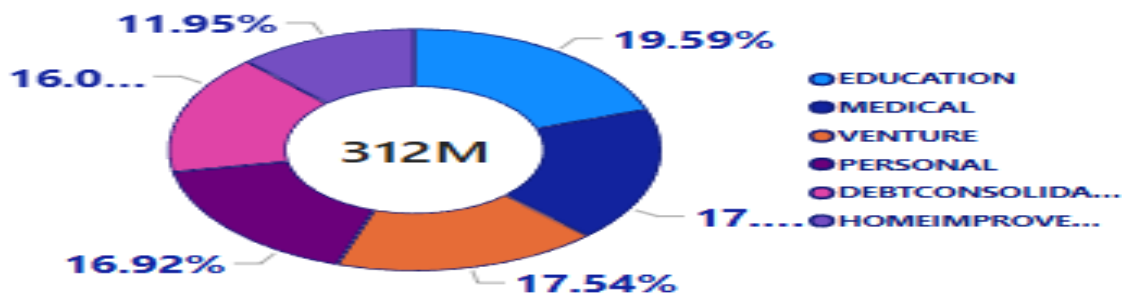
Grade G has the highest default rate at 98.44%, while Grade D has the highest defaulted exposure at 22,800,100. This demonstrates why portfolio analysis should use both default rate and financial exposure.

Portfolio Exposure by Loan Intent

Loan Intent	Total Loans	Total Exposure	Defaulted Exposure	Default Rate	Portfolio Exposure Share
MEDICAL	6,071	56,214,925	18,146,000	26.70%	17.99%
DEBTCONSOLIDATION	5,212	50,008,550	16,561,650	28.59%	16.01%
EDUCATION	6,453	61,191,725	12,156,450	17.22%	19.59%
PERSONAL	5,521	52,856,800	11,542,800	19.89%	16.92%
VENTURE	5,719	54,809,625	9,412,600	14.81%	17.54%
HOMEIMPROVEMENT	3,605	37,349,675	9,305,875	26.10%	11.95%

Education has the largest portfolio exposure share at 19.59%, while Medical has the largest defaulted exposure at 18,146,000. Debt Consolidation has a higher default rate of 28.59% and represents 16.01% of portfolio exposure.

Portfolio Exposure by loan purpose

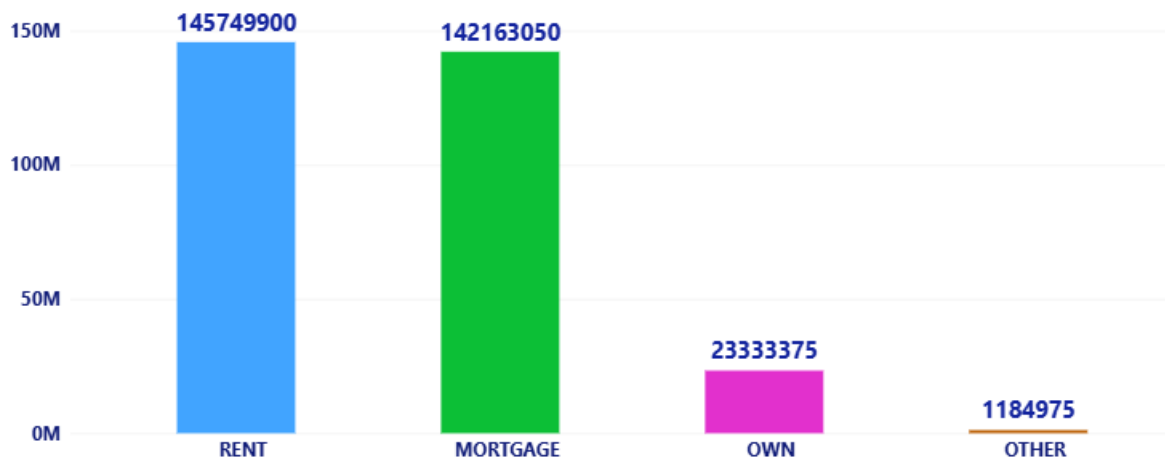


Portfolio Exposure by Home Ownership

Home Ownership	Total Loans	Total Exposure	Defaulted Exposure	Default Rate
RENT	16,446	145,749,900	55,865,775	31.57%
MORTGAGE	13,444	142,163,050	19,519,350	12.57%
OWN	2,584	23,333,375	1,298,175	7.47%
OTHER	107	1,184,975	442,075	30.84%

Rent has the largest exposure among home-ownership categories at 145,749,900 and also the highest defaulted exposure at 55,865,775. Its default rate is 31.57%.

Portfolio Exposure by loan purpose



4. Business Insight

Loan grade is a strong risk segmentation variable. Default rates increase sharply across the weaker grades, with Grade G at 98.44% and Grade D at 59.05%, compared with 9.96% for Grade A.

Repayment burden is strongly associated with default. The 30%+ loan-income burden group has a 65.46% default rate versus 11.54% below 10%.

Previous default history is an important risk indicator. Borrowers with a previous default have a 37.81% default rate compared with 18.39% for those without a previous default.

Income level shows a clear relationship with default. The default rate decreases from 47.07% in the low-income group to 8.93% in the high-income group.

Risk rate and portfolio exposure tell different stories. Grade G has the highest default rate, while Grade D has the highest defaulted exposure. A portfolio review should therefore consider both metrics.

Some loan-intent segments combine meaningful exposure with elevated default rates. Medical has 17.99% of portfolio exposure and a 26.70% default rate, while Debt Consolidation has 16.01% exposure and a 28.59% default rate.

5. Business Implication

Risk-based analysis . Credit assessment can give greater attention to combinations of weaker loan grade, previous default history, lower income, higher interest rate and higher loan-income burden.

Affordability assessment. The 65.46% default rate in the 30%+ loan-income burden group indicates that repayment capacity is an important factor for risk assessment.

Enhanced monitoring of Grade D. Grade D has 39,339,350 of total exposure and 22,800,100 of defaulted exposure, making it important from an exposure-management perspective.

Early-warning monitoring. Previous default history and higher interest-rate groups show materially higher default rates and can be useful segmentation variables for monitoring.

Exposure-aware portfolio management. Default rate should be reviewed together with total exposure and defaulted exposure. A high default rate in a small segment has a different financial implication from high defaulted exposure in a larger segment.

Data quality controls. The analysis identifies 3,116 loans with missing interest rates, representing approximately 9.56% of the 32,581 loans. Missing values should be monitored because incomplete risk attributes can affect segmentation.

Conclusion

The SQL analysis identifies a 21.82% overall default rate across 32,581 loans. The main observed risk patterns are concentrated around weaker loan grades, higher loan-to-income burden, previous default history, lower income, higher interest rates, shorter employment tenure and certain loan-intent and home-ownership segments.

From a business perspective, the portfolio should be viewed through two dimensions: the probability or frequency of default and the amount of exposure attached to that risk. The combination of default rate, total exposure and defaulted exposure provides a more practical view of where credit risk can have the greatest portfolio impact.